Industry Update — August 31, 2026

Aerospace & Defense

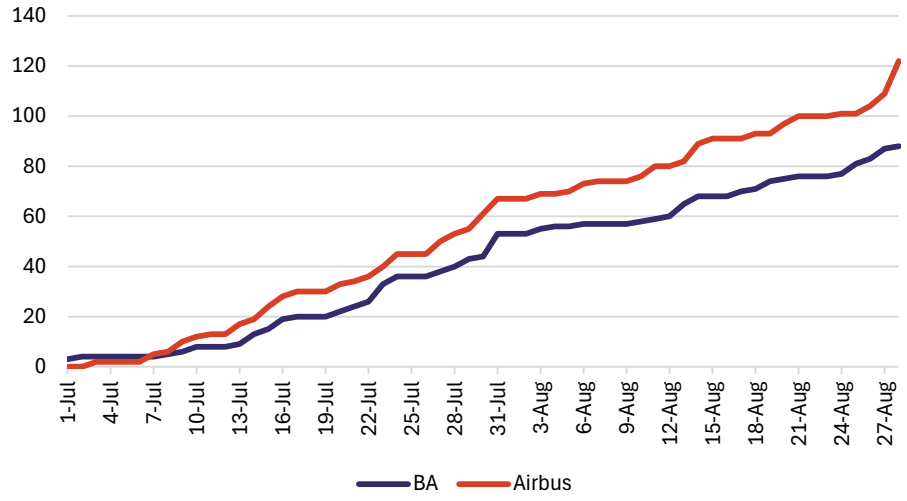
Airbus & Boeing Production vs. Deliveries Tracker

Our Call

- BA Q3 delivs at 88 (143 Q1, 171 Q2, 53 Jul/35 Aug) and Airbus 122 (114 Q1, 237 Q2, 67 Jul/55 Aug); Airbus at ~54% of 2026 target (vs. ~57% avg).
- MAX first flights 36/mo (trendline); A320 48/mo (trendline); 787 9/mo; A350 2/mo.

BA Q3 deliveries include 70 737, four 767, three 777, and 11 787. Airbus Q3 deliveries include 100 A320 Family, 13 A220, one A330, and eight A350.

Exhibit 1 - Airbus & BA Total Deliveries, Q3 To Date



Source: Cirium and Wells Fargo Securities, LLC

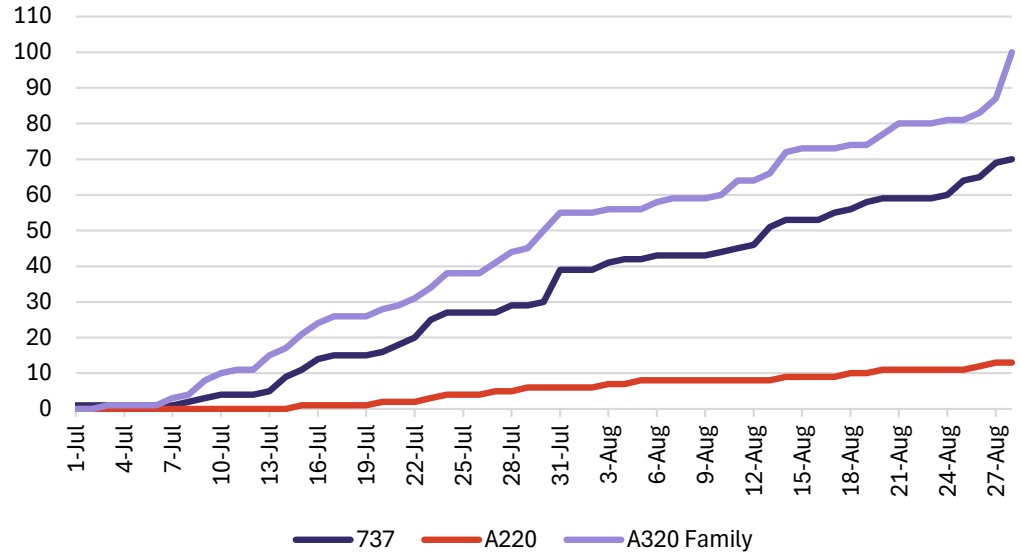
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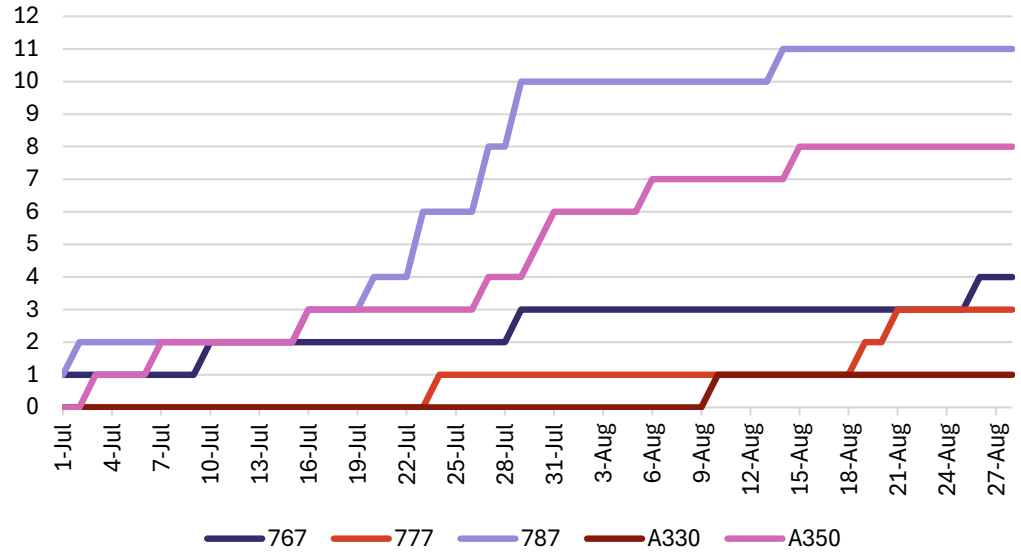
All estimates/forecasts are as of 8/31/2026 unless otherwise stated. 8/31/2026 8:49:08EDT. Please see page 8 for rating definitions, important disclosures and required analyst certifications.
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Exhibit 2 - NB Deliveries by Aircraft, Q3 To Date



Source: Cirium and Wells Fargo Securities, LLC

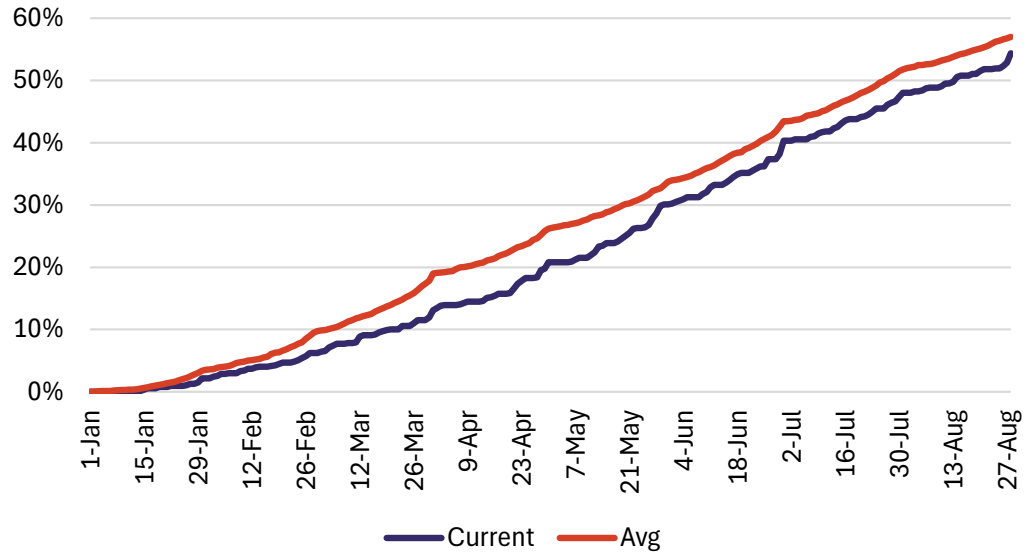
Exhibit 3 - WB Deliveries by Aircraft, Q3 To Date



Source: Cirium and Wells Fargo Securities, LLC

Airbus deliveries at 473 are currently ~54% of 2026 target (870), behind typical average pacing of ~57% at this point in the year.

Exhibit 4 - Airbus Deliveries % of 2026 Target (vs Recent Avg)



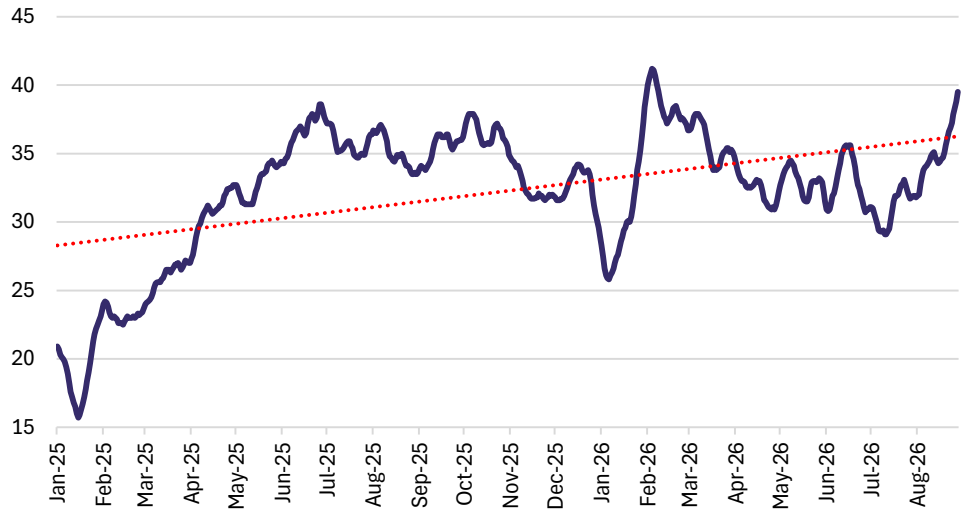
Source: Cirium and Wells Fargo Securities, LLC

Production

We track first flights off the production line to estimate monthly production rates.

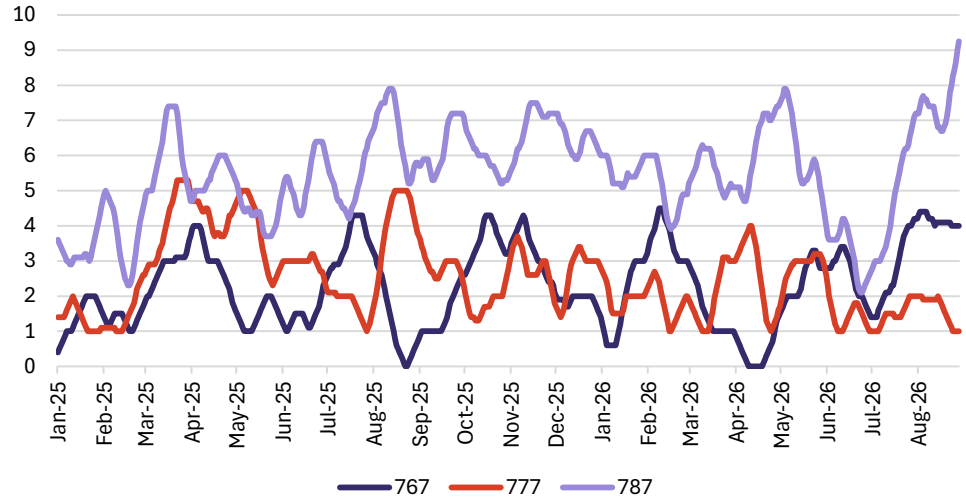
For BA, we estimate current rates for 737 at ~36/mo (trendline), 787 ~9/mo, 767 ~4/mo, and 777 at ~1/mo.

Exhibit 5 - 737 Monthly Production Rate



Source: Cirium and Wells Fargo Securities, LLC estimates

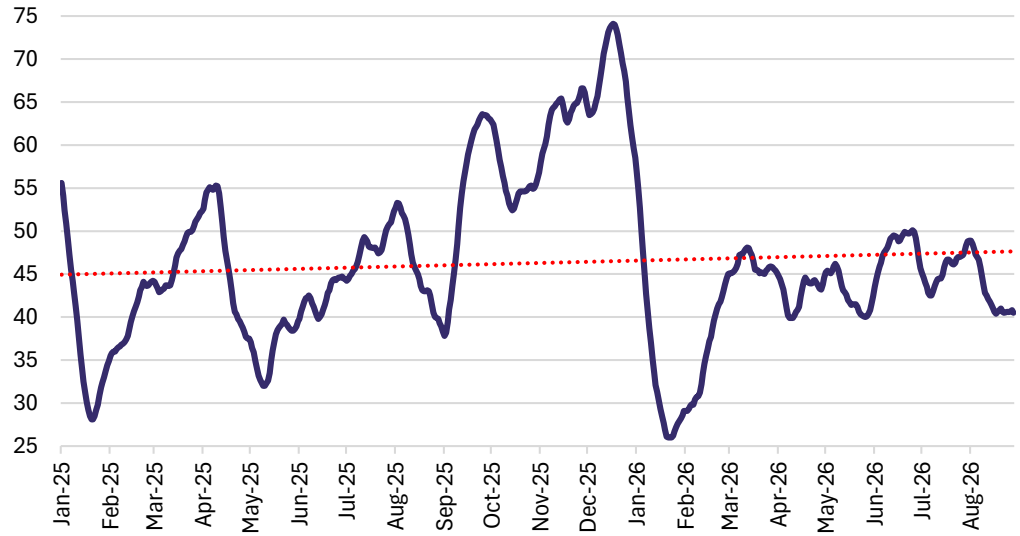
Exhibit 6 - 767 / 777 / 787 Monthly Production Rates



Source: Cirium and Wells Fargo Securities, LLC estimates

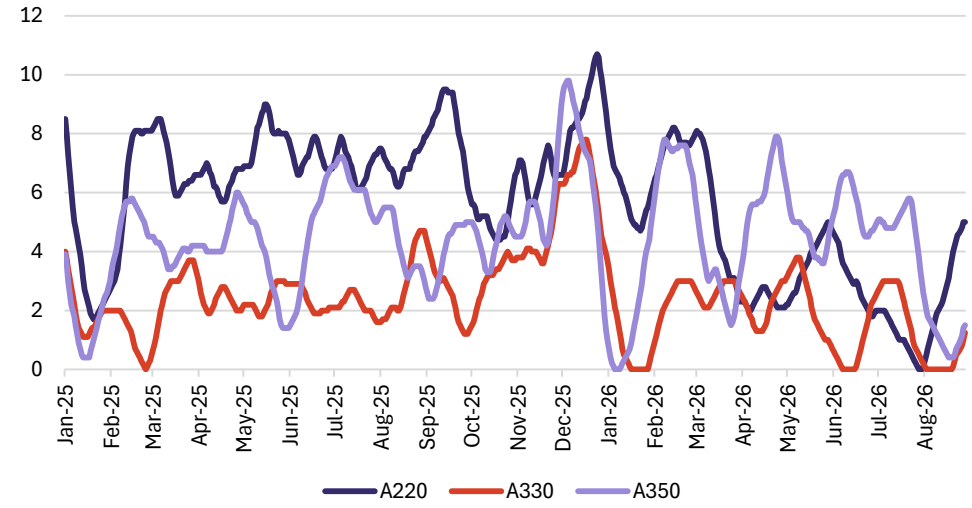
For Airbus, we estimate current rates for A320 Family at ~48/mo (trendline), A220 at ~5/mo, A350 at ~2/mo, and A330 ~1/mo.

Exhibit 7 - A320 Family Monthly Production Rate



Source: Cirium and Wells Fargo Securities, LLC estimates

Exhibit 8 - A220 / A330 / A350 Monthly Production Rates



Source: Cirium and Wells Fargo Securities, LLC estimates

Delivery Forecast

We forecast Boeing deliveries at 673 in 2026, growing to 940 in 2030, and Airbus deliveries at 870 in 2026, growing to 1,120 in 2030. This would equate to ~2,100 aircraft deliveries in 2030, as compared to ~1,400 in 2025, or an 8% CAGR.

Exhibit 9 - Commercial Aero Delivery Forecast

	1QA	2QA	3QE	4QE	2026E	2027E	2028E	2029E	2030E
737 NG	1	0	0	0	1	0	0	0	0
737 MAX	113	129	135	135	512	575	625	675	725
767	6	10	8	8	32	15	15	15	15
777	8	7	9	9	33	36	36	45	50
787	15	25	25	30	95	120	130	140	150
Boeing	143	171	177	182	673	746	806	875	940
A220	19	25	23	33	100	110	120	130	140
A320neo Family	81	190	165	225	661	715	750	775	800
A330	3	7	10	18	38	45	50	50	50
A350	11	15	20	25	71	85	100	115	130
Airbus	114	237	218	301	870	955	1,020	1,070	1,120
Total					**1,543**	**1,701**	**1,826**	**1,945**	**2,060**
YOY Growth					*11%*	*10%*	*7%*	*7%*	*6%*
Narrowbodies					**1,274**	**1,400**	**1,495**	**1,580**	**1,665**
YOY Growth					*11%*	*10%*	*7%*	*6%*	*5%*
Widebodies					**269**	**301**	**331**	**365**	**395**
YOY Growth					*9%*	*12%*	*10%*	*10%*	*8%*

Source: Company reports and Wells Fargo Securities, LLC estimates

Investment Thesis, Valuation and Risks

Airbus SE (AIR-FR)

Investment Thesis

While we ultimately see upside on an increasing proportion of higher-priced and higher-margin A321 deliveries, leverage to higher A350 volumes (on improving supply chain), and the opportunity for improved A220 returns, Airbus is more constrained by supply chain than BA and we expect a larger negative impact from SPR integration. We rate the shares Equal Weight.

Target Price Valuation for AIR-FR

- Our price target of €210 reflects Airbus trading at an 12x 2027 EBITDA, a ~30% discount to where we expect aero to trade on average. Aero has historically traded at ~17x EV/EBITDA on average while we expect the group to trade at premium as earnings outgrow over the next several years.

Risks to Our Price Target and Rating for AIR-FR

Upside risks

- Margins could improve faster than expected as deliveries ramp
- Strengthening in USD
- Integration of SPR A220 and A350 production could be smoother than expected

Downside risks

- Typical seasonality requires Q4 ramp
- Integration of SPR A220 and A350 production could be a challenge
- Further weakening in USD

The Boeing Company (BA)

Investment Thesis

We rate the shares Overweight, as we see upside to FCF expectations on MAX and 787 production, reversal in 777X drag, and working capital opportunity as inventory and advances return to normal.

Target Price Valuation for BA

Our $250 price target reflects BA trading at a 20x FCF multiple, a ~15% discount to where we expect aero to trade on average, as compared to its current ~30% discount. Aero has historically traded at ~20x FCF on average while we expect the group to trade at premium as earnings outgrow over the next several years.

Risks to Our Price Target and Rating for BA

Downside risks include:

- Further delay in MAX 7/10 and/or 777X certification; and
- Further cost growth on fixed price programs, principally KC-46 and VC-25B.

Companies Mentioned in Report

Company Name	Ticker	Last Price (08/28/26)
Airbus SE	AIR-FR	€203.05
The Boeing Company	BA	$209.82

Source: Wells Fargo Securities LLC Estimates, FactSet

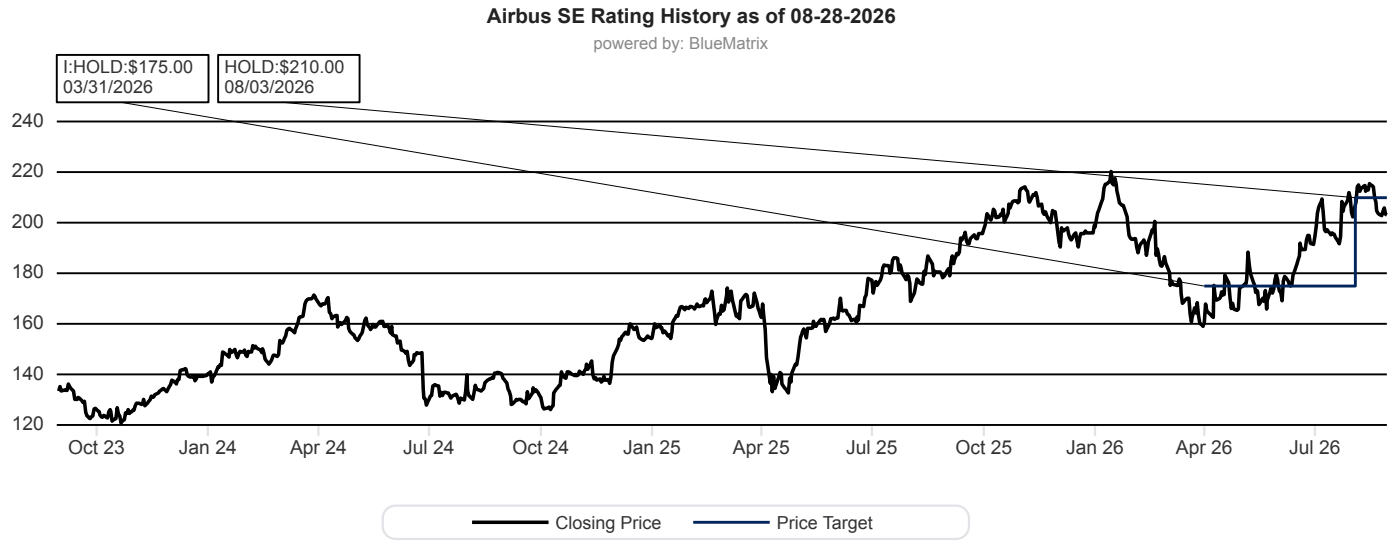
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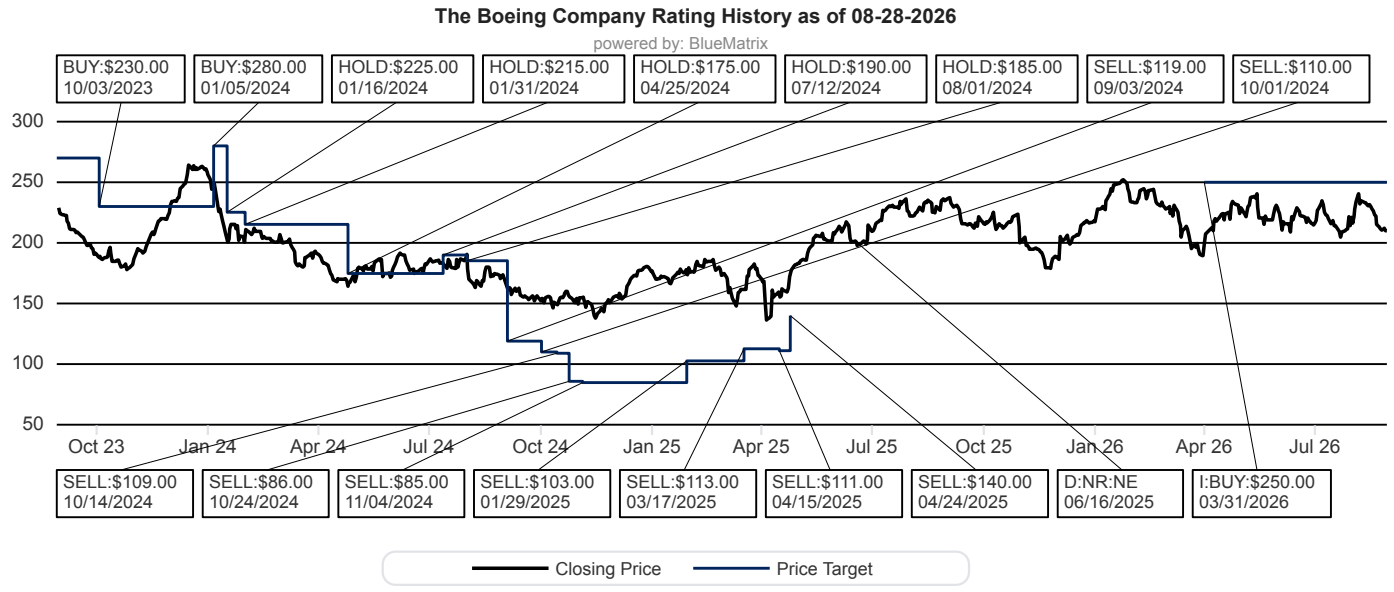
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OW=Overweight: Total return on stock expected to be 10%+ over the next 12 months. (BUY)

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NR=Not Rated: The rating and price target has been removed due to lack of fundamental basis to support the recommendation or due to legal, regulatory or company policy considerations.

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